How to structure your trades

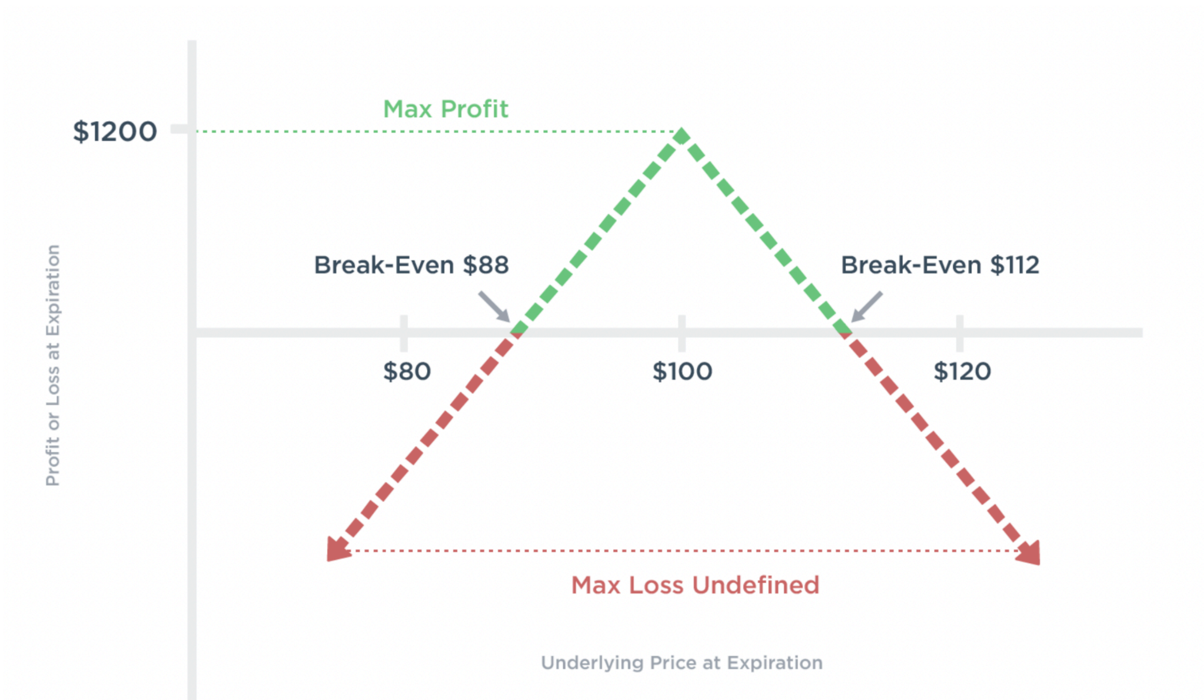
The goal with the way we structure our trades is to capture the variance risk premium and replicate the backtest performance in our own portfolios. To do this, we must follow the trade execution rules outlined in the backtest and understand how to manage our positions in different scenarios.

This section provides a detailed breakdown of how to do this for short straddles and put credit spreads.

Option 1: Short ATM Straddles (30 DTE) with Daily Delta Hedging

The first way to structure the trade is by selling an **at-the-money (ATM) straddle** with **30 days to expiration (DTE)** and managing delta exposure by hedging **once per day, near market close**.

Here's what a short straddle payoff looks like:



- This structure is **theoretically the best way** to capture the variance risk premium.
- Because it involves selling **ATM** options, it collects **the most premium** and has the highest exposure to the volatility risk premium.

- **Delta hedging is required** to manage directional risk, which means this approach needs **daily trade management**.

This trade structure works well if you can manage it properly—but if you fail to hedge delta effectively, directional risk will eat into your profits.

How to choose strikes

- Always sell the **ATM (at-the-money) straddle**—this is where implied volatility is highest.
- Since this trade requires daily delta hedging, the strikes don't change over time.

How to manage trades at expiration

- **Always manually close the position before expiration.** We do **not** take assignment.
- **If the VIX is above 40**, do not enter a new trade—wait until volatility drops below this level.
- If you have delta-hedged during the trade, **close out any share positions before closing the straddle** to return to neutral.
- **Enter a new 30 DTE straddle** immediately after closing the old one (unless the VIX is still too high).

When to enter the next / a new trade

- **After closing the previous trade**, immediately enter a **new 30 DTE ATM straddle**, provided that VIX is below 40.
- Always **ensure delta neutrality** by closing out any hedging positions before entering the new trade.

How to size trades

- These require **significant margin** since they have uncapped risk.
- **A reasonable target is 20-40% margin utilization** for the strategy, with a **hard cap at 50%**.
- Before placing trades, use your broker's stress testing tool to see **how much you would lose in a 20% market drop**—this helps avoid over-sizing.
- Make sure you have enough capital to trade at least 50 shares per straddle so you can delta hedge the trade

When to delta hedge the short straddle

- **If you need a refresh on how delta hedging works, click here.**
- **Hedge once per day, near market close.**
- This is how the backtest was run—following this rule ensures the trade replicates historical performance.
- **Hedging at the end of the day minimizes slippage and trading costs.**

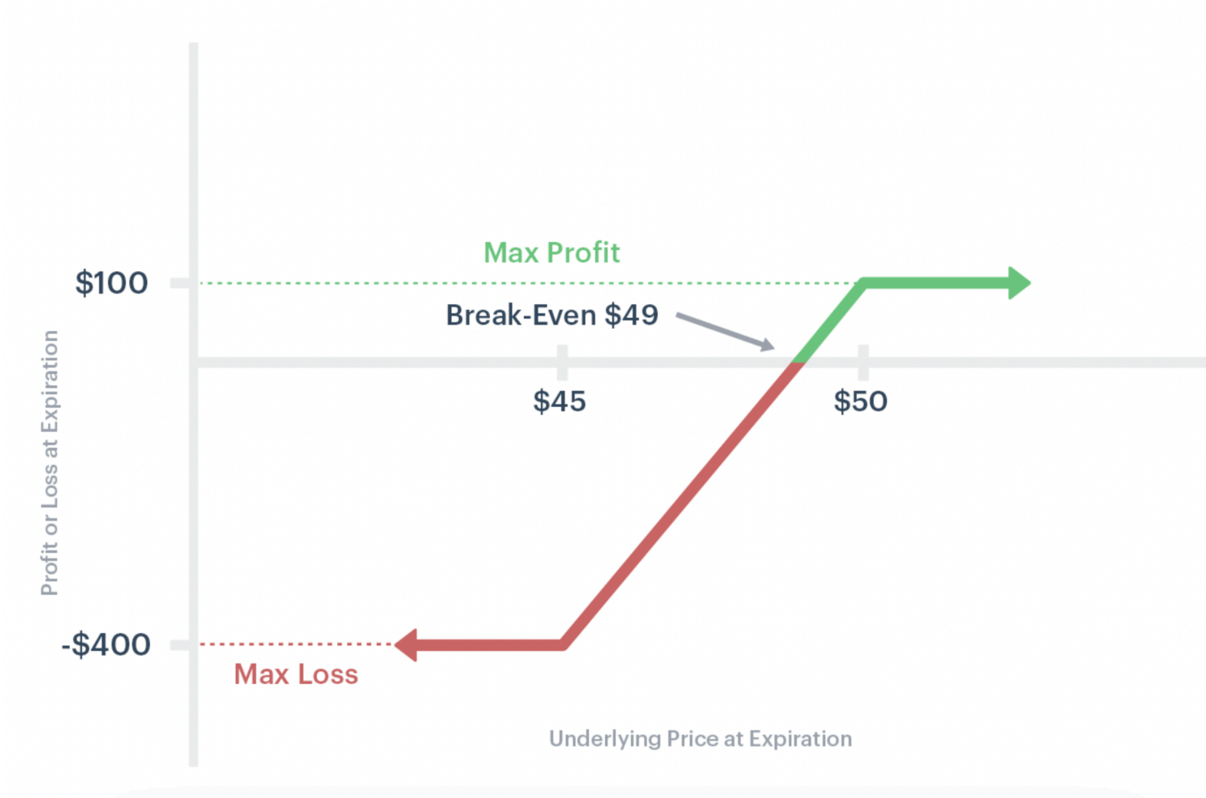
- The goal is to **return to delta-neutral**, but advanced traders can adjust based on their own preferences.

Option 2: Put Credit Spreads (Delta 30 / Delta 10, 30 DTE)

If you prefer to trade the put credit spreads, you structure trades by:

- **Selling the 30DTE delta 30 put**
- **Buying the 30 DTE delta 10 put as a hedge**

Here's what a put credit spread payoff looks like:



This structure still takes advantage of the variance risk premium but has some key differences:

- It does **not require delta hedging** since it has built-in risk limits.
- It only loses money if the market drops significantly, which aligns well with **spot-vol correlation** (markets tend to trend up slowly and drop sharply).
- It has **lower theoretical returns than the straddle**, but it's much easier to trade in practice.

This is the **better choice for traders who want a simple, structured approach** without daily management.

How to choose strikes

- Try to always sell the **delta 30 put and buy the delta 10 put** on the **30 day expiration.**
- If exact deltas aren't available, use the closest available strikes.
- If **30 DTE contracts aren't liquid**, use the **next closest expiration**—preferably a monthly contract, since those tend to have better liquidity.

How to manage the trade

- If the position is **worthless at expiration**, let it expire—there's no need to close it.
- If the trade is **near max profit (~70-80% of premium collected), close early** and enter a new one. This can happen if the market rallies hard, since your strikes move further out of the money.
- If expiration approaches (1-2 days) and the underlying price has moved down below your short strike (your short put is now in the money), close out the trade and roll into a new put spread. Do not allow it to expire, otherwise you will take assignment.
- When rolling, always **aim to enter the new trade at delta 30 / delta 10**, and **30 days to expiration.**

When to enter the next trade

- **Whenever a previous trade is closed**, enter a new spread at **delta 30 / delta 10**.
- This could happen **at expiration or when max profit is realized.**
- If 30 DTE is unavailable, use the closest expiration with good liquidity.

How to size trades

- Since this trade structure is risk defined (you know your max risk at the inception of the trade), the margin required to execute the trade is equal to your max risk. This makes it easier to size your trades, since you don't need to worry about changes in margin requirement.
- Position size based on **max loss per trade**, ensuring that total drawdowns remain within a comfortable risk level.
- Size your trades based on a max risk tolerance. If you have $10,000 for the strategy, and your max risk you want on your portfolio is 20% drawdown over any 30 day window, then you can easily calculate this by making the sum of the risk on your trades equal to $2,000 or less.

Decision Time: Pick You Structure

These two structures provide two different paths to capturing the variance risk premium.

Option 1: If you want **a simpler, more passive approach with built-in risk control**, go with the **put credit spread**. This is what most members start because they work, they are very hands off, and they are a great starting point.

Option 2: That being said, if you want **maximum expected return and don't mind active trade management**, go with the **short ATM straddle with delta hedging**.

Both work, both have advantages, and both will allow you to extract edge from the market systematically. Choose the one that fits your trading style